

large investment. Today, Buffett echoes that thinking. “With each investment you make, you should have the courage and conviction to place at least ten percent of your net worth in that stock.”⁵

You can see why Buffett says the ideal portfolio should contain no more than 10 stocks, if each is to receive a 10 percent weighting. Yet focus investing is not a simple matter of finding 10 good stocks and dividing an investment pool equally among them. Even though all the stocks in a focus portfolio are high-probability bets, some will inevitably be higher-probability than others, and they should be allowed a greater proportion of the investment.

Blackjack players understand this strategy intuitively; when the odds are strongly in their favor, they put down a big bet. Investors and gamblers draw from the same science: mathematics. Along with probability theory, mathematics provides another piece of the focus investing rationale: the Kelly optimization model, which is described in detail later in the chapter. The Kelly formula uses probability to calculate optimization—in this case, the optimal size bet one should make in the portfolio.

Focus investing is the antithesis of a broadly diversified high-turnover approach. Although focus investing stands the best chance, among all active strategies, of outperforming an index return over time, it does require investors to patiently hold their portfolios when it appears that other strategies are marching ahead. In shorter periods, we realize that changes in interest rates, inflation, or near-term expectations for a company’s earnings can affect share prices. But as the time horizon lengthens, the trendline economics of the underlying business will increasingly dominate its share price.

How long is that ideal time? There is no hard-and-fast rule, although Buffett would probably say five years since this is the time period he is focusing on for Berkshire Hathaway’s results. The goal is not a zero turnover ratio; that’s foolish in the opposite direction, for it would prevent you from taking advantage of something better when it comes along. I suggest that, as a general rule of thumb, we should be thinking of a turnover rate between 10 and 20 percent. A 10 percent turnover rate suggests that an investor holds the stock for 10 years; a 20 percent rate implies a five-year period.